

PgBee Market Opportunity Analysis Report

Kerala Student Accommodation Market

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Project

PgBee Business Growth, Profitability & Expansion Analytics

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Executive Summary

PgBee is a student accommodation discovery and booking platform that connects students with verified hostels across Kerala.

This report evaluates the market opportunity for PgBee by analyzing student population, hostel demand, hostel capacity, accommodation gaps, and district-level expansion opportunities.

The analysis indicates that Kerala has a significant underserved student accommodation market, with demand exceeding available hostel capacity in multiple districts.

Key findings show that Malappuram, Wayanad, Ernakulam, Kasaragod, and Idukki present the strongest expansion opportunities based on demand scores and accommodation shortages.

The Total Addressable Market (TAM) is estimated at ₹37.72 Crore, while the Serviceable Available Market (SAM) is estimated at ₹15.98 Crore. A realistic three-year Serviceable Obtainable Market (SOM) is estimated at ₹1.60 Crore.

1. Business Background

About PgBee

PgBee is a digital platform that helps students discover and book verified hostel accommodations.

The platform provides:

- Verified hostel listings
- Room availability information
- Online booking capabilities
- Secure payment processing
- Hostel comparison features

PgBee serves two primary customer groups:

Students

Students searching for safe, affordable, and verified accommodation options.

Hostel Owners

Hostel owners seeking higher occupancy rates and increased visibility.

2. Research Objective

The objective of this study is to:

- Estimate the size of the student accommodation market in Kerala
 - Identify districts with the highest hostel demand
 - Measure the accommodation supply gap
 - Evaluate revenue opportunities for PgBee
 - Recommend expansion priorities
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3. Research Methodology

The analysis was conducted using district-level educational and accommodation estimates.

The following variables were analyzed:

- Number of colleges
- Student population
- Percentage of students requiring hostel accommodation
- Existing hostel capacity
- Required hostel beds
- Hostel supply gap
- District demand score

The market sizing model was then used to calculate:

- TAM (Total Addressable Market)
 - SAM (Serviceable Available Market)
 - SOM (Serviceable Obtainable Market)
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4. Kerala Student Accommodation Market Overview

Total Students

1,110,000 Students

Total Hostel Demand

377,600 Students

Average PgBee Commission

₹999 Per Booking

TAM Revenue Potential

₹37.72 Crore

These numbers indicate a substantial market opportunity for PgBee across Kerala.

5. District-Level Analysis

High Opportunity Districts

Malappuram

Demand Score: 1.72

Key Observations:

- Large student population
- High hostel demand
- Significant accommodation shortage

- Highest opportunity score in Kerala

Wayanad

Demand Score: 1.71

Key Observations:

- Limited accommodation supply
- High percentage of hostel-dependent students
- Strong expansion potential

Idukki

Demand Score: 1.53

Key Observations:

- Educational institutions attracting outstation students
- Hostel demand exceeds current capacity

Kasaragod

Demand Score: 1.50

Key Observations:

- Growing student population
- Insufficient hostel infrastructure

Ernakulam

Demand Score: 1.42

Key Observations:

- Largest concentration of colleges
- Strong student inflow
- Large accommodation demand

6. Hostel Gap Analysis

Hostel Gap = Required Beds – Existing Capacity

Districts with the largest shortages include:

District	Hostel Gap
Malappuram	23,700
Ernakulam	19,000
Kozhikode	11,250
Kottayam	10,100
Thiruvananthapuram	5,500

The data suggests a significant unmet accommodation demand across major educational hubs.

7. Market Sizing

Total Addressable Market (TAM)

Represents the total market if every hostel-seeking student used PgBee.

Students:

377,600

Revenue Potential:

₹37.72 Crore

Serviceable Available Market (SAM)

Target Districts:

- Malappuram
- Wayanad
- Idukki
- Kasaragod
- Ernakulam

Students:

159,950

Revenue Potential:

₹15.98 Crore

Serviceable Obtainable Market (SOM)

Assumption:

10% Market Capture

Students:

15,995

Revenue Potential:

₹1.60 Crore

8. Strategic Insights

Insight 1

Kerala has a large underserved student accommodation market.

Insight 2

Several districts experience accommodation demand significantly exceeding supply.

Insight 3

Ernakulam remains the most commercially attractive district due to scale.

Insight 4

Malappuram and Wayanad represent high-growth opportunities due to demand concentration.

Insight 5

Digital booking platforms remain underpenetrated, creating opportunities for PgBee.

9. Expansion Recommendations

Phase 1 (0–12 Months)

Focus Districts:

- Ernakulam
- Malappuram
- Kozhikode

Objectives:

- Increase hostel inventory
 - Improve owner onboarding
 - Expand student acquisition
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Phase 2 (12–24 Months)

Focus Districts:

- Wayanad
- Kottayam
- Kasaragod

Objectives:

- Strengthen regional coverage
 - Improve booking conversion rates
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Phase 3 (24–36 Months)

Expand across all Kerala districts and prepare for entry into neighboring states.

10. Conclusion

The Kerala student accommodation market presents a substantial growth opportunity for PgBee.

The analysis identifies a market potential of ₹37.72 Crore with strong demand concentrated in multiple districts. Strategic expansion into high-demand districts, combined with improved hostel onboarding and student acquisition efforts, can position PgBee as a leading student accommodation platform in Kerala.

The findings support a phased expansion strategy focused on maximizing occupancy, revenue growth, and long-term market leadership.